



For professional investors only | markets 2026-07-31/30 mixed · inflation June 2026 | As-of 2026-08-02 · Sunday (the 1 August slot fell on the Swiss national holiday) | Reading time ≈ 4 minutes | Publisher: KRINO — published by A.G.

Shipping through the Strait of Hormuz fell to its lowest level of the crisis. Crude fell with it.

Stress CALM · **Inflation** WATCH · **Evidence strength** Low · inflation regime WATCH since 2026-03 — fifth live reading

THE RECORD — regime history



Market-stress regime unchanged and calm, and this week the calm deepened. Equity volatility fell from 20.66 to 17.09 in a single session, reversing a spike that was larger on the way up than anything else in this window; the S&P; 500 rose 1.0 percent on the week to 7,489.72 and its twelve-month drawdown narrowed to 1.6 percent; the yield curve steepened again to +0.47, further from inversion for a third consecutive report; the high-yield credit gap sits at 1.10 against a 1.44 tripwire and both of its legs narrowed. Jobless claims printed 197,000 for the week ending 25 July, and the four-week average fell to 202,750 from 222,500 a month earlier. The physical picture moved the other way and moved hard: naval reporting put crossings of the Strait of Hormuz down 52 percent week-on-week, in single digits per day, the lowest since the conflict began in March; Red Sea transits fell to 225 from 311; the war-risk insurance zone was extended; and around fifty nations convened in Riyadh on a maritime coalition, fourteen pledging support. Crude did not follow. The settled Brent series fell from \$100.31 to \$91.82 across the same window. Between scheduled releases the published state moves only on the pre-registered falsifiers below — headlines and commentary, including this report's own, change nothing by themselves.

Strongest observation against this reading

Required section, second of a four-week trial. (1) The strongest single observation against this report's reading is that the settled crude price FELL, from \$100.31 to \$91.82, across the same days in which shipping through the strait reached its lowest level of the crisis. (2) It most supports the competing explanation that the disruption is being absorbed rather than transmitted. (3) The interpretation is retained this period for one stated reason: the settled price series publishes with a multi-day lag and last printed for 27 July, while the timely front-month contract rose over the following days to \$90.12 — the two instruments may be on different clocks rather than in disagreement. That is a reason to wait one week, not a rebuttal. If next week's settled price confirms sub-\$90 while transits stay at these levels, the energy channel of this reading has a real problem and this section will say so.

WHAT WOULD PROVE THIS WRONG

- ☐ Jobless claims sustained above 300,000
- ☐ Yield curve back below zero
- ☐ High-yield credit through its divergence tripwire
- ☐ Sixth straight month of consumer inflation at or above 4% year-over-year

Hash-committed before publication · verify github.com/foxtrot76/krino-commitments

The thesis

Active reading (≈70%)

The observation this period is the same disagreement as last period, wider and with the sign reversed on one side. The scored financial panel is not merely failing to confirm the physical picture — it is moving away from it. Volatility fell, equities rose, the curve steepened further from inversion, and both legs of the credit instrument narrowed, so the gap that would signal transmission is 1.10 against a 1.44 tripwire and has not reached that tripwire since April 2025. Against that, the physical measures reached their worst readings of the crisis. The report's standing explanation is that transmission is lagged or masked rather than absent; that explanation remains the least-contradicted of the eight the report scores, and the explanation that nothing unusual is happening remains the most contradicted by a wide margin.

Strongest opposing case (≈20%)

The strongest opposing case is now stronger than it was, and it comes from the energy market itself. If a supply chokepoint tightens to its worst level of a crisis and the price of what passes through it falls, the simplest reading is that the disruption is being absorbed — by rerouting, by consolidation onto fewer larger cargoes, by inventory, or by the expectation that the announced coalition will restore passage. Saudi cargoes rerouting through Suez at longer voyage times are adaptation observed and dated. A reader who concluded that the physical readings describe a logistics problem rather than a financial one would be reading the scored panel correctly, and would have the price on their side this period.

Rejected alternatives (≈10%)

Alternative	Rejected because
Acute market-stress regime	Volatility 17.09, curve +0.47, credit gap 1.10 against a 1.44 tripwire — no scored stress
Inflation regime confirmed	One of six qualifying months; June printed 3.53%, below the 4% bar
All-clear / watch retired	Transits at their crisis low and the war-risk zone extended; the scored panel is calm but the physical picture is not, and the divergence is what the report is tracking

The evidence

Signal	Reading	Threshold	Status
Equity volatility (VIX)	17.09	< 20	calm, -8.6% on week
S&P 500	7,489.72	—	+1.0% on week
Yield curve (10y – 2y)	+0.47	> 0	positive, steepening
High-yield credit gap	1.10 divergence	< 1.44	benign, both legs narrowed
Initial jobless claims	197,000	< 300k	4-week average falling
Market-stress index	44th percentile	90th = elevated	below bands

On repeated readings. The panel is re-read each week, but its signals track slow-moving conditions. A reading that persists across several issues is therefore largely the same observation restated, not a series of independent confirmations — and a longer streak is not stronger evidence. Where this issue cites a run of consecutive readings, read it as duration, not as accumulation.

Inflation-regime axis

Component	Value	Threshold	Fires
Consumer inflation, year-over-year	3.53%	≥ 3%	yes
Consumer inflation, 3-month annualised	4.61%	≥ year-over-year rate	yes
Months ≥ 4% year-over-year	1 of 6	6 to arm	no
Real policy rate	≈ +0.1%	≤ -1.0%	no
Real-equity erosion	—	depressed	no

Method

Coverage map — maturation: Observed → Monitored → Instrumented → Scored

Coverage area	Stage
Market stress — vol, credit, liquidity	Scored
Inflation regime	Scored (live)
Labour slack	Scored
Commodity / energy shocks	Monitored
Private credit	Watch
Geopolitics / chokepoints	Observed

Named blindspots

Two disclosures this period, both measured rather than asserted. FIRST, a sensitivity test on this report's own weighting. Evidence is graded in tiers: official data and market prints carry double the weight of independent journalism, and state communications carry none. The competing-explanation scoreboard behind this issue was re-run with every journalism-sourced item deleted — 46 percent of the items and 30 percent of the evidence weight. The leading explanation is unchanged and the 'nothing unusual is happening' explanation remains the worst-supported by a wide margin, so the tension this issue describes is not an artifact of how sources are weighted. What does change is discriminating power: without journalism, four explanations tie at the top instead of two, and the board can no longer separate its own leading candidates. Read the ranking below first place as weakly held. One consequence is disclosed rather than buried — the second-place explanation changes identity under this test, and the physical-inventory instrument this project has prioritised building was chosen to separate the full-weight pair, not the journalism-free one. SECOND, a known limitation carried openly while it is being reworked: the tier scheme conflates the CLASS of a source with the WEIGHT of the evidence it supplies, so a rigorous piece of journalism and a thin one score alike. The rework is decided and not yet built. Standing limitations unchanged: energy supply shocks monitored but not scored; private-credit stress not visible in public spreads and watched, not scored.

Live forward tests

Labour-slack sign — reg. 2026-06-23; grades 2026-08-07 (in 5 days)

Inflation-regime transition — live; next test: August print (3-month window rolls) (monthly)

Coalition-response explanation — proposed 2026-08-01; WITHDRAWN before registration — see below (not registered)

Governance

Layer status

Validated (shown as validated): market-stress axis; inflation-regime axis. Provisional — under evaluation: the multi-thesis interpretation layer (dual-read shown for transparency; promoted only when its validator is operational and the evaluation phase clears).

Independent review — red-team, not user/subscriber feedback

OpenAI — hypothesis-grading and forward-test reviews. Main concern: rejected this period's proposed forward test as unmeasurable — an absence of reporting is not an absence of activity — and refused to let a self-disconfirming idea be deleted from the record of how well the generator performs

DeepSeek — hypothesis-grading and forward-test reviews. Main concern: refused the same forward test in stronger terms — a test that cannot fail honestly is not a test — and rejected an eight-week deadline chosen by judgement rather than derived

Published state never moves on review count. Challenges are logged; the state changes only on a pre-registered falsifier. Resolved this period: a proposed forward test was WITHDRAWN before registration on the unanimous verdict of both outside reviewers — the second withdrawal on this subject — and the explanation it would have tested is published here carrying no credit and no test. A rule was adopted requiring that an idea killed by its own check at generation still be counted against the generator's record rather than erased from it.

Submit a challenge (classified under the challenge-intake taxonomy): krino.reviews@gmail.com

Appendix A — Audit

For verification. Durable technical record; optional for ordinary readers.

Locks & provenance

Item	Value
Understanding-model lock	v15 8d4515ed
Thesis ontology (frozen)	v1.0 ff5466c3
Inflation Regime Sensor	r297 — frozen
Commitment log	github.com/foxtrot76/krino-commitments

Open challenges

ID	Challenge	Opened	Status	Severity
CH-010	Forward tests are weaker than the hypothesis machinery that feeds them	2026-08-02	Open — raised by an outside reviewer	High
CH-009	Project may be over-inspecting its own tools while the forecast clock stands still	2026-07-25	Open — remedy deferred to Oct review	High
CH-008	Grade changed on a single weekly reading; rating asymmetry favoured the leader	2026-07-23	Resolved 30 Jul — demotion permanent	Med
CH-001	Live inflation axis unvalidated (n=1)	2026-07-06	Open — adjudicating	Med
+3 more	CH-002, CH-006, CH-007 — see the challenge log	—	Logged	—

Strongest outstanding challenge

From an outside reviewer this period, quoted because the paraphrase would soften it: this project has a much stronger mechanism for generating and comparing explanations than for proving that its forward tests can genuinely fail. The charge is specific rather than general — it was made about the forward test proposed this week, which both reviewers then refused, and it is the second test on the same subject to be withdrawn before registration. The generating side of this project is further along than the testing side, and the testing side is the side that decides whether any of it was right. Open — remedy outstanding.

GLOSSARY

WATCH

An inflationary configuration flagged, not a confirmed regime.

Arms the regime

Meets the count needed to confirm a regime (6 months $\geq$ 4%).

Divergence tripwire

The high-yield vs BB spread gap that would signal credit stress (1.44).

Falsifier

A pre-registered condition that, if met, moves the state.

Withdrawn before registration

A proposed test discarded because no outcome could have proved it wrong.

Method: KRINO classifies macro regimes from public data under a fixed protocol — hypotheses and their falsifiers are hash-stamped before evaluation; thresholds frozen before validation; instruments adopted only after out-of-sample validation and independent review; every revision and defect logged.

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